

Caterpillar Inc. (CAT.US)

Industrials · Farm & Heavy Construction Machinery
Large Cap (>\$200B) · Report Date: June 27, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-27

UNDERWEIGHT

Blended Target: \$598.48

DCF + Comps + Analyst (see cross-check table)

Implied upside: -40.0%

Price (Jun): \$997.47

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$598.48 (-40.0% vs \$997.47); Comps 100% (pre-cap \$523.47 -> \$598.48) valuation after outlier checks (audit-capped).
- Strong revenue growth; healthy margins; elevated leverage; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Caterpillar Inc. (CAT) — Industrials. Caterpillar Inc. provides construction and mining equipment, off-highway diesel and natural gas engines, industrial gas turbines, and diesel-electric... **UNDERWEIGHT** rating; blended target \$598.48. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$459.43B	Shares Out.	460.6M
52-Week Range	\$384.25 – \$1057.07	P/E (TTM)	49.7x
P/B	24.6x	Beta	1.60
Avg Volume	2.89M	Analyst Rec.	Buy
Revenue (TTM)	\$70.76B	Rev Growth	+22.2%
Op. Margin	18.2%	FCF (TTM)	\$7.45B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	64,809	67,589	82,594	96,048	107,721
Revenue Growth (%)	N/A	4.3%	22.2%	16.3%	12.2%
Net Income (\$M)	10,792	8,884	10,856	12,625	14,159
Net Income Growth (%)	N/A	-17.7%	22.2%	16.3%	12.2%
Gross Margin (%)	36.0%	31.8%	28.6%	28.6%	28.6%
Net Margin (%)	16.7%	13.1%	13.1%	13.1%	13.1%
ROE (%)	55.4%	41.7%	50.9%	53.7%	57.4%
EPS (\$)	23.43	19.29	23.57	27.41	30.74
Book Value / Share (\$)	42.32	46.28	46.28	51.03	53.58
P/E (x)	42.57	51.71	42.32	36.39	32.45
P/B (x)	23.57	21.55	21.55	19.55	18.62
Dividend Yield (%)	65.0%	65.0%	65.0%	65.0%	65.0%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$279.60	-72.0%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Profile template weights	—	—	—	Standard operating company: DCF 32%, Comps 53%, Analyst 15%
Comps — P/E (peer median)	\$523.47	-47.5%	—	Peer median P/E 26.1x
Comps — Blended (avg. of available multiples)	\$523.47	-47.5%	100% (pre-cap)	Included in pre-audit blend; final target audit-adjusted
Analyst consensus (Yahoo Finance)	\$949.68	-4.8%	0% (excluded)	Analyst consensus lags / diverges >35% from comps
Blended target (weighted)	\$598.48	-40.0%	100%	Comps 100%; pre-cap \$523.47 -> \$598.48
Audit (≥30% vs price)	—	—	—	Incomplete data: sector peers (have 1, need ≥2); Target set to consensus median (data gaps; DCF excluded if rejected); Target capped at ±40% vs price (model dispersion) Data gaps: sector peers (have 1, need ≥2)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	12.82%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$7.45B
PV explicit (5Y)	\$38.73B
PV terminal	\$90.05B
Equity value (adj.)	\$128.78B
Implied price	\$279.60
vs. current	-72.0%

INDUSTRY ANALYSIS

1. Industry Overview

Caterpillar Inc. provides construction and mining equipment, off-highway diesel and natural gas engines, industrial gas turbines, and diesel-electric locomotives in the United States and internationally. The Construction Industries segment offers asphalt pavers, cold planers, compactors, forestry machines, material handlers, motor graders, pipelayers, road reclaimers, telehandlers, track-type...

2. Key Trends

- Strong top-line growth (22.2% YoY)
- Healthy operating margins (18.2%)
- Above-market volatility (β=1.60)
- Sector: Industrials | Industry: Farm & Heavy Construction Machinery

3. Risk Factors

- Elevated leverage (D/E: 231%)
- Premium valuation (P/E: 49.7x)
- High market sensitivity in downturns

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
SPY	State Street SPDR S&P;	N/A	26.1x	N/A	N/A	N/A
CAT*	Caterpillar Inc.	\$459.43B	49.7x	34.3x	13.3%	+22.2%

* Subject company. Commands premium p/e vs peers. Strong revenue growth; healthy margins; elevated leverage; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.